



**Aegis TST Trucking Program
Historical Experience Review
Results as-of 12/31/17**

	TX
	Liability
Loss & ALAE Limitation	500,000

Auto Liability												
Texas												
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
				On-Level		Average				Ultimate	Ultimate	Ultimate
Accident	Written	Earned	On-Level	Earned	Policy	Premium	Exposure	Claim	Claim	Claim	Claim	Claim
<u>Year</u>	<u>Premium</u>	<u>Premium</u>	<u>Factor</u>	<u>Premium</u>	<u>Counts</u>	<u>Per Policy</u>	<u>Counts</u>	<u>Counts</u>	<u>LDF</u>	<u>Counts</u>	<u>Frequency</u>	<u>Severity</u>
2013	2,277,113	1,269,037	1.244	1,578,259	23	99,005	689	59	1.000	59	0.1	15,708
2014	3,160,677	2,712,097	1.244	3,373,119	29	108,989	995	111	1.001	111	0.1	33,315
2015	5,260,800	4,159,483	1.239	5,153,698	45	116,907	1,674	174	1.003	175	0.1	17,255
2016	6,986,792	6,147,786	1.196	7,350,808	57	122,575	2,082	270	1.008	272	0.1	22,377
2017	<u>6,493,866</u>	<u>6,586,311</u>	1.101	<u>7,252,117</u>	<u>56</u>	<u>115,962</u>	<u>1,708</u>	<u>269</u>	1.058	<u>285</u>	<u>0.2</u>	<u>18,211</u>
	24,179,249	20,874,715		24,708,001	210	115,139	7,148	883		902	0.1	20,981
	(13)	(14)	(15)	(16)	(17)	(18)	(19)	(20)	(21)	(22)	(23)	(24)
				3.5%			Trended Ultimate L&ALAE Indications				Selected	
Accident	On-Level	Reported	Reported	Loss			Paid	Paid	Incurred	Incurred	Ultimate	Ultimate
	Earned	Paid	Incurred	Trend	Paid	Incurred	Chain-	Bornhuetter-	Chain-	Bornhuetter-	Trended	L&ALAE
<u>Year</u>	<u>Premium</u>	<u>L&ALAE</u>	<u>L&ALAE</u>	<u>Factor</u>	<u>LDF</u>	<u>LDF</u>	<u>Ladder</u>	<u>Ferguson</u>	<u>Ladder</u>	<u>Ferguson</u>	<u>L&ALAE</u>	<u>Ratio</u>
2013	1,578,259	765,165	765,165	1.188	1.025	1.015	931,496	936,492	922,408	925,570	926,767	58.7%
2014	3,373,119	2,823,859	3,255,624	1.148	1.076	1.040	3,487,527	3,412,508	3,886,740	3,830,154	3,701,656	109.7%
2015	5,153,698	2,022,044	2,400,040	1.109	1.238	1.144	2,774,742	2,954,478	3,045,244	3,129,213	3,011,366	58.4%
2016	7,350,808	2,711,368	4,466,194	1.071	1.857	1.459	5,392,267	5,346,276	6,980,895	6,449,653	6,090,288	82.9%
2017	<u>7,252,117</u>	<u>1,387,335</u>	<u>2,307,343</u>	1.035	3.435	2.189	<u>4,931,690</u>	<u>5,137,137</u>	<u>5,226,808</u>	<u>5,223,938</u>	<u>5,184,878</u>	<u>71.5%</u>
	24,708,001	9,709,771	13,194,366				17,517,722	17,786,891	20,062,095	19,558,528	18,914,955	76.6%

		Selected:	77.0%	(25)
(1) Provided by company	(19) = (14) x (17)	Large Loss Load:	1.080	(26)
(2) Provided by company	(20) = [(13) x (25) from Countrywide Total by LOB x [1 - 1 / (17)]] + [(14) x (16)]	<u>ULAE Load:</u>	<u>1.074</u>	(27)
(3) Based on historical average rate level reported	(21) = (15) x (18)	Projected Loss and LAE Ratio:	89.3%	(28)
(4) = (2) x (3)	(22) = [(13) x (25) from Countrywide Total by LOB x [1 - 1 / (18)]] + [(15) x (16)]			
(5) Provided by company	(23) Selected judgmentally based on indications in (19) - (22)	<u>Credibility (Z):</u>	<u>90.3%</u>	(29)
(6) = (1) x (5)	(24) = (23) / (13)	Z-Weighted Indication:	88.8%	(30)
(7) Provided by company	(25) Selected judgmentally based on (24) for 2013-17			
(8) Provided by company	(26) Ratio of losses incurred to losses limited by selected threshold, by LOB.	Targeted Loss and LAE Ratio:	65.0%	(31)
(9) Developed from company triangles, by LOB	(27) Developed from company IEE (2015-17), by LOB	Indicated Rate Need:	36.5%	(32)
(10) = (8) x (9)	(28) = (25) x (26) x (27)			
(11) = (10) / (7)	(29) Selected judgmentally based on indications in (25) - (28)			
(12) = (23) / (10)	(29) Square root of $\Sigma(8) / 1,082$, by LOB.			
(13) = (4)	(30) = [(28) x (29)] + [(32) from Countrywide Total by LOB x [1 - (29)]]			
(14) Provided by company	(31) Based on company UW target			
(15) Provided by company	(32) = [(30) / (31)] - 1			
(16) Based on industry data in ISO filing CA-2016-BRLA-1				
(17) Developed from company triangles, by LOB				
(18) Developed from company triangles, by LOB				